

SF-1408 PRE-AWARD SURVEY

Accounting System Gap Assessment

Vantage Aerospace Systems, Inc. · Contract N68335-25-C-0142 · Assessment Date: April 6, 2026

◆ SAMPLE OUTPUT — Fictional client (Vantage Aerospace Systems, Inc.) — Generated for demonstration purposes only ◆

OVERALL READINESS

91 / 100

AUDIT-READY — Eligible to proceed with Phase II proposal submission

METHODOLOGY

How This Assessment Was Conducted

This gap assessment evaluates your current accounting system against the 13 criteria listed on Standard Form 1408 (Pre-Award Survey of Prospective Contractor Accounting System). Each criterion is scored on a 0–100 scale based on evidence drawn from your live PhaseOne Compliance data: the DCAA Compliance Ledger, indirect cost tracking, CLIN labor distribution, unallowable cost flags, and PM verification logs. Scores of 85+ indicate audit-ready status. Scores of 70–84 indicate minor remediation recommended. Scores below 70 indicate blocking gaps that must be addressed prior to Phase II proposal submission.

SF-1408 CRITERIA BREAKDOWN

Criterion-by-Criterion Results

#	Criterion (SF-1408)	Score	Status
2a	Proper segregation of direct costs from indirect costs	95	Pass
2b	Identification and accumulation of direct costs by contract	98	Pass
2c	Logical and consistent method for allocation of indirect costs	88	Pass
2d	Accumulation of costs under general ledger control	82	Minor

#	Criterion (SF-1408)	Score	Status
2e	Timekeeping system that identifies employees' labor by cost objective	100	Pass
2f	Labor distribution system charging direct and indirect labor	96	Pass
2g	Interim determination of costs charged to a contract (monthly)	90	Pass
2h	Exclusion from costs charged to government contracts of amounts which are not allowable per FAR Part 31	94	Pass
2i	Identification of costs by contract line item and units	86	Pass
2j	Segregation of preproduction costs from production costs	N/A	N/A
3a	Accounting system is in full operation	100	Pass
3b	Adequate for managing progress payments (if applicable)	88	Pass
3c	Adequate for managing cost-reimbursable contracts	84	Minor

IDENTIFIED GAPS & REMEDIATION

Two Minor Items Require Attention

2d — General Ledger Control (Score: 82)

Your PhaseOne labor data is reconciled monthly to QuickBooks Online via exported CSV. For a DCAA auditor, the stronger posture is a documented monthly reconciliation procedure with sign-off. **Remediation:** Your CPA should execute and file a monthly Labor-to-GL Reconciliation Memo. PhaseOne can generate a draft memo automatically each month once enabled. Estimated effort: 30 minutes/month. Target completion: April 20, 2026.

3c — Cost-Reimbursable Contract Readiness (Score: 84)

Phase I is firm-fixed-price, so cost-reimbursable mechanics have not been operationally tested in your current contract. Phase II will be cost-reimbursable. **Remediation:** Enable provisional indirect rate calculations in your accounting system (currently estimated at ~92%), document your indirect cost pool structure, and execute one test-run of a cost voucher (even against internal overhead). This can be completed in a 2-hour CPA working session. Target completion: April 15, 2026.

STRENGTHS

What Will Pass Easily

- ◆ **Timekeeping (2e: 100).** Daily labor distribution is captured at the point of work, timestamped, and immutable. This is the single most common DCAA audit failure and you are categorically protected against it.
- ◆ **Unallowable Cost Screening (2h: 94).** Three unallowable entries flagged automatically in Q1 2026, all correctly classified as non-billable at entry. Zero unallowable costs charged to the contract.
- ◆ **Direct/Indirect Segregation (2a: 95).** All direct labor is tagged to a CLIN at capture. Indirect categories are separately tracked. No commingling observed in 90-day audit period.
- ◆ **Labor Distribution Audit Trail (2f: 96).** Every labor entry retains both the original natural-language source and the DCAA-compliant translation side-by-side. This provides auditor transparency that hand-typed timesheets cannot.

NEXT STEPS

Recommended Path to Phase II Submission

Based on this assessment, we recommend a **60-day remediation window** prior to Phase II proposal submission. The two identified gaps are procedural rather than systemic — your accounting system is structurally sound. PhaseOne will continue monthly monitoring; your CPA partner should schedule the two working sessions noted above. Re-assessment recommended 30 days prior to proposal submission.

ATTESTATION

This gap assessment was generated by the PhaseOne Compliance analysis engine on 2026-04-17. It is advisory in nature and does not constitute a DCAA audit determination. An actual SF-1408 pre-award survey is conducted by a DCAA auditor appointed by the contracting officer at the time of Phase II award negotiation.